Solution

Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	(a) Rathna's Executor A/c Dr. To Bank A/c (Amount due paid immediately)		1,00,000	 1,00,000
	(b) Rathna's Executor A/c Dr. To Rathna's Executor loan A/c (Amount due transferred to loan account)		1,00,000	 1,00,000
	(c) Rathna's Executor A/c Dr. To Bank A/c To Rathna's Executor loan A/c (₹ 60,000 paid and the balance transferred to loan account)		1,00,000	 60,000 40,000



Life policies may be taken on the life of the partners in a partnership firm. The life policy may be individual policy or joint life policy. Incase of individual policy, if a partner dies, his policy alone matures and the policy amount is received from the insurance company.

Incase of joint life policy, one policy is taken on the lives of all partners. When any one of the partners dies, the policy matures and the policy amount is received. In both types of policies, the insurance premium is paid by the partnership firm. The policy amount received from the insurance company is used to settle the amount due to the deceased partner.

Illustration: 21

Sundar, Vivek and Pandian are partners, sharing profits in the ratio of 3:2:1. Their balance sheet as on 31st December, 2018 is as under:

Balance Sheet as on 31st December, 2018

Liabilities	₹	₹	Assets	₹
Capital accounts:			Land	80,000
Sundar	50,000		Stock	20,000
Vivek	40,000		Debtors	30,000
Pandian	10,000	1,00,000	Cash at bank	14,000
General reserve		36,000	Profit and loss A/c (loss)	6,000
Sundry creditors		14,000		
		1,50,000		1,50,000

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